

trading demand. A great illustration of bitcoin's price support increasingly being tied to utility came from Pantera Capital, a well-respected investment firm solely focused on cryptoassets and technology. In [Figure 8.2](#) we can see that in November 2013 bitcoin's speculative value skyrocketed beyond its utility value, which is represented here by transactions per day using Bitcoin's blockchain (CAGR is the compound annual growth rate).



Figure 8.2 ■ Comparison of bitcoin's price with its utility value

Source: <https://medium.com/@PanteraCapital/bitcoin-continues-exponential-growth-in-2016-blockchain-letter-february-2017-9445c7d9e5a2>

Speculative value diminishes as a cryptoasset matures because there is less speculation regarding the future markets